TradingTech Insight
From A-TEAMGROUP

Digital Assets & Tokenisation Insight
From A-TEAMGROUP

The institutional adoption of stablecoins:

Strategic value, challenges, and implementation frameworks

Commissioned by:

APEX

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Introduction

Financial services are experiencing a surge in institutional interest in stablecoins, driven by growing regulatory clarity, geopolitical shifts, and new revenue opportunities. With more than $300+ billion in circulation globally, stablecoins have evolved from a crypto-native payment tool into an increasingly important component of financial market infrastructure. USDT and USDC continue to dominate the market, accounting for the majority of stablecoin supply and facilitating trillions of dollars in annual transaction volume, demonstrating the growing demand for digital representations of fiat currency (McKinsey & Company, 2026; DefiLlama, 2026; Circle, 2026).

Regulatory developments such as the GENIUS Act in the United States, MiCA in Europe, and emerging frameworks across the Middle East, Japan, Hong Kong, and Singapore have significantly improved market confidence and accelerated institutional engagement. At the same time, industry initiatives such as OpenUSD, which seeks to promote interoperable digital dollar infrastructure across the financial ecosystem, alongside European stablecoin projects such as Qivalis, illustrate the growing momentum behind regulated, institutional-grade stablecoin solutions designed to support payments, settlement, liquidity management, and treasury operations.

For financial institutions, stablecoins offer a compelling combination of operational efficiency and strategic opportunity. They enable the near-instant, 24/7 movement of value, reduce friction in cross-border payments, support delivery-versus-payment settlement for tokenised assets, and create new opportunities for liquidity management and treasury optimisation. For issuers, they can also generate additional revenue through the management of reserve assets held to support the circulating supply.

However, the path to mainstream adoption is not without challenges. Among the primary obstacles cited by institutional participants are technical integration with legacy technology stacks, the complexity of navigating differing regulatory requirements across jurisdictions, and the need to implement robust compliance and risk management frameworks. As stablecoins become increasingly integrated into regulated financial markets, institutions are placing greater emphasis on real-time proof-of-reserve mechanisms, secure minting controls, cross-chain interoperability, and robust compliance frameworks.

Today, stablecoins appear to be on track for widespread adoption across payments, treasury, and capital markets use cases. As regulatory frameworks mature and institutional infrastructure continues to develop, stablecoins are increasingly positioned to become a foundational component of the future financial system, bridging traditional finance and blockchain-based markets through programmable, compliant, and globally accessible digital cash.

Section 1.
What financial institutions should know about stablecoins

A stablecoin is an on-chain form of cash designed to maintain a stable value relative to a fiat currency through backing by reserve assets such as bank deposits, government securities, or money market instruments. This design differentiates stablecoins from more volatile cryptocurrencies, making them suitable for payments, settlement, treasury management, and a growing range of institutional financial services.

Today, stablecoins are increasingly viewed as a core component of the emerging digital money ecosystem. Their use among financial institutions extends across payments, settlement, liquidity management, collateral mobility, treasury operations, and access to new digital asset markets. As adoption accelerates, stablecoins have the potential to fundamentally transform how money and value move through the global financial system.

Revenue generation, treasury efficiency and yield opportunities

Stablecoins create value for different participants in different ways. For issuers, a key benefit is the ability to earn income from the reserve assets backing the stablecoin, which are typically held in cash, cash equivalents, or short-duration government securities. In most stablecoin structures, this reserve income accrues primarily to the issuing entity, creating a potentially attractive revenue stream.

For users, however, the primary benefits are often operational rather than yield-related. Stablecoins enable near-instant, 24/7 movement of value across borders, reducing settlement times, payment friction, correspondent banking costs, and treasury inefficiencies. They also support delivery-versus-payment settlement for tokenised assets and facilitate liquidity mobility between traditional and blockchain-based financial markets. These advantages can translate into significant savings for corporates, financial institutions, and payment providers.

In some jurisdictions, like Bermuda, regulatory frameworks permit the issuance of yield-bearing stablecoins or similar structures that allow token holders to participate in a portion of the returns generated by the underlying reserves. However, many regulatory regimes seek to limit or prohibit direct yield distribution by stablecoin issuers in order to maintain a clear distinction between stablecoins, bank deposits, and investment products.

As a result, institutions seeking additional returns are increasingly exploring complementary on-chain liquidity solutions. These include tokenised money market funds ("MMFs"), which provide exposure to money market yields while retaining many of the benefits of blockchain-based assets, as well as opportunities within decentralised finance ("DeFi"), where stablecoins can be deployed in lending, liquidity, and collateral management activities. In parallel, some banks are exploring tokenised deposits as a digital representation of commercial bank money capable of supporting programmable and always-on settlement.

Looking ahead, stablecoins are expected to play a central role in payments, settlement, liquidity management, and interoperability across digital asset markets. As institutional adoption grows, they are likely to coexist alongside tokenised deposits, tokenised MMFs, and other forms of digital cash, creating a more efficient, programmable, and continuously available financial infrastructure.

Enhanced efficiency and cost savings

The core appeal of stablecoins and other forms of digital cash lies in their ability to facilitate the frictionless movement of value globally. Transactions can settle within seconds and operate continuously on a 24/7 basis, in contrast to traditional payment rails that often rely on intermediaries, correspondent banking networks, and settlement windows that can delay transfers for days.

For large institutions, the potential benefits extend beyond speed. Stablecoins can reduce payment processing costs, improve liquidity management, lessen the need for pre-funded accounts, and support more efficient deployment of working capital. These advantages are driving growing interest from banks, payment providers, asset managers, and multinational corporates seeking to update treasury and cross-border payment operations.

Stablecoins and other digital cash instruments also have the potential to reshape portions of the global payments and foreign exchange ecosystem. By enabling direct movement of digital value and reducing dependence on multiple intermediaries, they can improve capital efficiency and challenge traditional revenue models associated with payments, settlement, and treasury services.

As adoption grows, institutions are increasingly viewing stablecoins, tokenised deposits, and tokenised money market funds as complementary tools that can support faster settlement, greater liquidity mobility, and more efficient treasury operations across global financial markets.

Strategic use cases: Payments, DVP, and corporate treasury

Stablecoins are rapidly moving beyond their original role as settlement assets within digital asset markets and are increasingly being considered as part of a broader institutional digital money infrastructure.

The most immediate use case remains cross-border payments, payroll, and treasury transfers. Institutions are attracted by the ability to settle transactions on a near-real-time, 24/7 basis, reducing payment costs, increasing transparency, and improving the efficiency of global value transfers. These benefits are particularly attractive in markets where correspondent banking relationships are limited, expensive, or operationally complex.

Another key opportunity is delivery-versus-payment ("DVP") settlement. Stablecoins, tokenised deposits, and other digital cash instruments can serve as the cash leg for tokenised securities transactions, enabling the simultaneous exchange of assets and cash on the same infrastructure. By reducing settlement risk and eliminating reconciliation delays, these solutions can support more efficient trading and settlement of tokenised funds, bonds, equities, commodities, and private market assets. As the tokenised asset ecosystem grows, demand for digital cash capable of supporting atomic settlement is expected to increase significantly.

Digital cash is also emerging as a key component of corporate treasury management. Stablecoins can facilitate instant liquidity movements between entities, while tokenised deposits enable

banks to provide 24/7 settlement using commercial bank money. Meanwhile, tokenised money market funds and other regulated yield-bearing instruments allow treasury teams to maintain exposure to money market yields while retaining the programmability and mobility of on-chain assets. Together, these innovations are creating a new model for treasury management in continuously operating financial markets.

Geopolitical and competitive drivers

Beyond direct financial benefits, stablecoin adoption is being driven by a number of macro factors tied to global competition. One aspect of this is the dominance of the US dollar as the global currency of last resort. Stablecoins, particularly dollar-backed ones, contribute to maintaining this dominance. As stablecoin issuers acquire US Treasury bills for collateral, with Tether holding 60% to 80% of its reserves in US Treasury bills, they become significant buyers, supporting the stability of the US financial system.

A further driver is what is being called the 'Revolut Moment', with commercial banks feeling competitive pressure from neobanks and other emerging financial institutions. This is pushing banks to consider stablecoin adoption to keep pace and avoid being outflanked by more agile competitors.

Section 2.
Operational and technological obstacles to stablecoin adoption

Despite the clear benefits, the adoption of stablecoins faces a number of hurdles relating to integration with existing infrastructure, the mitigation of novel technical risks, especially around minting and cross-chain transfers, and the navigation of a complex and fragmented regulatory landscape.

Integrating with legacy technology stacks

The most significant challenge facing institutions as they seek to adopt stablecoins, according to an audience poll on an A-Team Group webinar, is integrating with legacy technology stacks. This challenge stems from the long-standing banking practice of layering technology rather than replacing it, resulting in a myriad of entrenched systems.

Financial institutions have invested heavily in systems for accounting, valuations, and payment initiation, such as SWIFT ISO 20022 message-based systems. Given this sunk cost, the easiest path for them is to allow their existing infrastructure to interface with the new stablecoin technology.

But legacy accounting and payments systems were not designed to handle stablecoins. Operational challenges revolve around integrating stablecoin capital with existing accounting systems and satisfying risk committees. Risk, cybersecurity, and accounting personnel need to become comfortable that the stablecoin format does not expose the firm to unnecessary capital loss.

Primary and secondary minting risks

Stablecoins bring technical risks of their own. Minting and distributing stablecoins across different chains can introduce complexity and significant technical risks that must be addressed programmatically.

So-called primary minting risk occurs during the initial generation

of the stablecoin on its home chain. The process involves the possibility of creating (or destroying) an incorrect number of coins, whether through compromised keys, overminting (like the PayPal stablecoin scenario that overminted to $300 trillion), or fat-finger mistakes.

The solution to primary minting risk lies in building programmatic guardrails directly into the smart contract that controls the minting and burning of the coin. Proof of reserve proves that the underlying collateral is present (e.g. US Treasury securities in the custodian's hands). So-called secure mint processes, meanwhile, require not only a command from the stablecoin issuer but also a programmatic check against the custodian's API, making overminting impossible if the system is properly constructed.

Elsewhere, secondary minting risk, also known as cross-chain risk, arises when stablecoins need to move to other chains – for DVP, yield, or cross-border payments – via a bridge. In most capital market scenarios, using a bridge grants it minting rights on the target chain. If the bridge is compromised or manipulated, it can inadvertently mint fake coins, even if the primary issuance was secure.

This problem can be addressed using solutions like the Cross-Chain Interoperability Protocol ("CCIP"), which has been adopted by SWIFT, to conduct extensive checks to ensure that incorrect minting does not happen during the transfer.

Alternatively, a reference blockchain such as T-REX Ledger can be used as a stablecoin registry to ensure a single source of truth, with the possibility of tracking stablecoin identities on the blockchain to enforce compliance rules required by evolving regulation.

Apex Group has recently announced its adoption of the T-REX Ledger as its default multi-chain orchestration infrastructure, providing a neutral coordination layer for tokenised asset ownership and compliance across multiple blockchain ecosystems.

This commitment forms part of Apex Group's broader ambition to tokenise assets under administration at scale, with an initial target of $100 billion in tokenised assets by June 2027.

Regulatory fragmentation and legal finality

Navigating the globally diverging regulatory landscape is cited by financial institutions as the second biggest challenge to stablecoin adoption. This fragmentation creates uncertainty and heightens strategic risk for firms attempting to build cross-border business models.

As part of this, global commercial banks constantly raise concerns about legal finality and issuance regimes. A stablecoin redemption considered final under the local laws of one jurisdiction may not hold the same finality in the receiving jurisdiction. This lack of predictable and consistent settlement introduces risk issues, treasury issues, and challenges for global operations.

Greater regulatory alignment is critical for stablecoins' mainstream acceptance and growth. Until regulators align, particularly around the core anti-money laundering ("AML") requirements, stablecoin adoption remains complex and burdensome, requiring each jurisdiction to be treated differently with tailored AML standards.

Compliance friction

Indeed, compliance is a major source of friction that threatens to undermine the core benefit of instantaneous settlement. In particular, in the area of Know Your Customer ("KYC") requirements, rules don't always keep pace with innovation. Strict KYC requirements, such as those in Switzerland, mandate KYC not only for the person being onboarded, but often also for the beneficiary of the stablecoin transaction.

This may ultimately require stablecoin issuers to adopt permissioned tokens based on the ERC-3643 standard, ensuring that only KYC-verified participants can hold the stablecoins, while enabling issuers to maintain visibility over their investor base through on-chain identity.

In essence, this requirement to re-KYC the beneficiary defeats the purpose of using stablecoins for instantaneous atomic settlement by reintroducing the exact friction the technology seeks to overcome. While a few jurisdictions (such as the United Arab Emirates) permit one bank to leverage another bank's KYC, commentators suggest this 'reusability' must become more widespread for fully atomic transactions to be achieved.

For example, a trusted bank can issue a KYC verification credential to a user's on-chain identity. Other institutions that accept this verification can then directly leverage the user's on-chain identity to confirm their KYC status, streamlining onboarding and reducing duplicate checks.

Finally, stablecoins introduce compliance risks relating to the efficient verification of identity and compliance with sanctions-screening requirements, such as the US Office of Foreign Assets Control ("OFAC") sanctions list. For some market participants, achieving clean AML at all times is the biggest challenge to taking stablecoins into the mainstream. Simply requiring control elements like whitelisting wallets or Know Your Transaction ("KYT") capabilities may fall short of meeting the obligation to identify the owners of wallets, as wallets are not identities.

Control of a private key is not equivalent to verified ownership, and assets can be irreversibly lost if a wallet is compromised. Permissioned stablecoins built on the ERC-3643 standard can address this by linking ownership to verified on-chain identities. In this model, whitelisting is no longer tied to wallets but to KYC credentials issued by approved entities and anchored to the user's on-chain identity.

For example, in a recent press release, World Liberty Financial announced a pilot of a permissioned USD1 stablecoin in collaboration with Apex Group. How issuers navigate and implement compliance across jurisdictions will be a critical factor in determining whether stablecoins can scale globally.

Section 3.
Best practices for implementing a stablecoin strategy

Implementing a successful stablecoin strategy requires a structured, programmatic approach that addresses the foundational question of whether to issue a stablecoin or leverage an existing one, focuses on embedding compliance through automation, and ensures strong internal alignment and collaboration.

Fundamental decision: Issue vs. leverage

The first strategic question institutions must address is whether to issue stablecoins or leverage existing ones.

Issuing involves creating a proprietary stablecoin, which necessitates building robust technology, implementing 24/7 infrastructure support, and managing reserve liquidity and integration challenges. This choice is attractive for firms seeking the cost savings and revenue opportunities outlined above.

Leveraging existing stablecoins, on the other hand, involves using established stablecoins such as USDT or USDC, issued by Tether and Circle respectively, or making use of a stablecoin-as-a-service offering. Leveraging existing stablecoins allows institutions to access DeFi yield and cross-border payment efficiency without incurring the full operational and regulatory burden of being an issuer.

Programmatic compliance and embedded supervision

A key element of any solution is the need to treat compliance not as a reactive, purely administrative task but rather as a programmatic requirement built directly into the smart contract governing stablecoin access and use.

One approach to this is to embed compliance directly into the stablecoin itself by using permissioned token standards such as ERC-3643. This enables issuers to define who can hold the stablecoins, enforce transfer restrictions, recover tokens if wallets are lost or compromised, and maintain visibility over ownership through on-chain identities.

Meanwhile, institutions must work with regulators (like the Bermuda Monetary Authority) to achieve 'embedded supervision', where compliance conditions are defined and verified directly within the smart contract. This verification meets the regulator's standards by checking data sources for identity and sanctions, thereby replacing vague regulatory expectations with clear, automated and auditable requirements.

Full explainability is important. The system must ensure that the verification process is transparent and that any decision made (such as rejecting an overmint command or blocking a transfer) is fully explainable and auditable.

Robust technical guardrails for security

Adopting a stablecoin strategy requires choosing and integrating technology infrastructure that addresses both primary and secondary minting risks, ensuring the stability and integrity of the asset. The system must incorporate a mechanism for daily proof of reserves for the underlying collateral, ideally verifiable in near real time (every minute or couple of seconds) via custodian APIs. This functionality is essential for ensuring that minting and burning are done accurately and that the collateral is physically present.

Secure mint implementation is essential. Practitioners must ensure that the contract that mints additional stablecoins programmatically includes the check against the custodian's API, making overminting impossible. The system also needs secure cross-chain transfers: when moving tokens across chains, the platform must use established, multi-layered protocols like CCIP to mitigate the secondary minting risk inherent in bridges, as discussed above.

Strategic organisational implementation

Any project to adopt stablecoins needs effective implementation that focuses its internal resources and ensures collaboration with external specialists. Institutions need to establish internal alignment across departments, specifically treasury, risk, compliance and IT, regarding whether stablecoins are the preferred method for treasury management or client yield generation.

Rather than assigning complex stablecoin issues to large committees, firms should select a single product manager, a single engineering leader, and a single go-to-market leader. These individuals should be equipped with very focused teams and empowered to execute a simple plan against one or two very specific use-cases.

Meanwhile, practitioners should seek expert advice from professional services companies on the accounting, tax, risk and other nuances of implementation. For institutions deciding to issue stablecoins, partnering with established global service providers with proven experience in supporting stablecoin issuers and the capability to support the unique operating model, such as Apex Group, offers a clear path to implementing and managing the asset in alignment with existing accounting and risk systems.

Section 4.
The benefits of taking a strategic approach

A structured approach to stablecoin adoption allows institutions to move beyond isolated pilot projects and build a scalable foundation for digital money, payments, treasury management, and capital markets activity. The benefits extend across risk management, operational efficiency, regulatory readiness, and long-term competitiveness.

Enhanced risk mitigation and fraud reduction

Implementing stablecoins within a controlled and well-governed framework can significantly reduce operational and financial risks. Institutions that adopt robust issuance controls, reserve verification processes, identity frameworks, and clear governance standards are better positioned to manage operational complexity and maintain market confidence.

By embedding controls into the operating model from the outset, firms can reduce the likelihood of issuance errors, improve transparency, strengthen oversight, and provide greater assurance to regulators, counterparties, and end users. As stablecoins become increasingly integrated into financial markets, risk management will remain a key differentiator between institutional-grade implementations and less mature market offerings.

Efficiency gains through automated compliance

Automating compliance using smart contracts and oracles is viewed as a 'killer feature' of tokenisation, yielding efficiencies far beyond what current manual processes can achieve. This kind of automation can facilitate the reuse of verification once regulators are comfortable viewing and accepting on-chain verification of identity and compliance. If a firm is verified by one institution, it could potentially gain instant access to all other institutions in that country's financial ecosystem, eliminating the need for every compliance department to re-verify the same information repeatedly, reducing duplication of effort and creating the potential for massive cost savings.

Furthermore, automated compliance is highly efficient and less prone to error than current manual processes, reducing the rate of failure and lowering fees currently paid by the industry. This allows compliance staff to focus on complex, high-risk items rather than routine checks.

Regulatory standing and acceptance

A proactive approach to compliance can help institutions build stronger relationships with regulators and position themselves for future regulatory developments.

As jurisdictions continue to develop stablecoin frameworks, institutions that adopt transparent governance structures, strong risk controls, and auditable operating models are likely to be better positioned to respond to evolving requirements. Demonstrating robust AML, sanctions, and investor protection controls can also help build confidence among clients, regulators, and market participants.

Ultimately, regulatory readiness is becoming a strategic advantage rather than simply a compliance obligation.

Long-term competitive and strategic advantage

A strategic approach gives financial institutions the opportunities to capture long-term market opportunities and maintain competitive relevance. Service providers like Apex Group are positioning themselves as the bridge between TradFi and DeFi. By offering 24/7, year-round stablecoin administration capabilities, they are prepared to support the full lifecycle of digital assets, including highly complex financial instruments like tokenised money market funds.

Financial institutions that opt to take a strategic approach can expect to take a leadership position, both in terms of revenue generation and innovation. Institutions that prepare now for fully regulated, yield-bearing institutional stablecoins will be strategically positioned to capture the ensuing mass adoption effect that is expected to quickly follow the regulatory alignment.

By dedicating small, focused teams to implement specific stablecoin use cases, institutions can maintain an innovative edge and avoid falling victim to the 'Revolut moment' where commercial banks are outpaced by agile neo-banks and other new market participants.

Introducing Apex Group

Apex Group is a leading global financial services provider with over $3.5 trillion in assets serviced. Last year, it launched Apex Digital 3.0 following the acquisition of Tokeny, the leading tokenisation technology provider enabling the issuance, management, and distribution of compliant tokenised securities.

Apex Digital 3.0 empowers the financial ecosystem with institutional-grade digital infrastructure for current and future generations of digital fund lifecycle management. Built on trust, powered by AI, and designed for scale, it enables our clients to transition into digital fund representation and decentralised finance with confidence. It brings mobility, accessibility, democratisation, and transparency at a time when investor expectations centre on diversification, composability, and 24/7 market access.

It provides a comprehensive range of institutional-grade services to wealth and asset managers, covering the full digital asset value chain from fund tokenisation and digital treasury to liquidity and stablecoin infrastructure. These capabilities enable end-to-end support for issuers, managers, and intermediaries seeking to engage securely in the tokenised economy.

For stablecoin issuers, it provides a modular service suite that includes:

- **Licensing and regulatory advisory:** Support for jurisdiction selection, licence applications, and regulatory compliance across leading markets.
- **Corporate services:** Entity incorporation, company secretarial, and directorship services to establish and maintain regulated structures.
- **Middle-office and reserve management:** Trade lifecycle support, reserve asset reconciliation, and independent risk and liquidity reporting.
- **Proof of reserves and transparency:** Chainlink-integrated reporting and real-time, immutable verification of reserve assets for enhanced market confidence.
- **Tokenisation and secure minting:** ERC-20 or ERC-3643 token issuance, identity-linked minting and burning, and 24/7 operational support.
- **Custody and asset segregation:** Support for bankruptcy-remote structures and regulated custody through partners such as EDB, Citi, or other approved custodians.

Apex Digital 3.0 is the bridge between traditional finance and programmable digital money. Apex Group provides the compliance, governance, and operational trust layer that enables the institutional adoption of stablecoins to scale securely and sustainably.

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